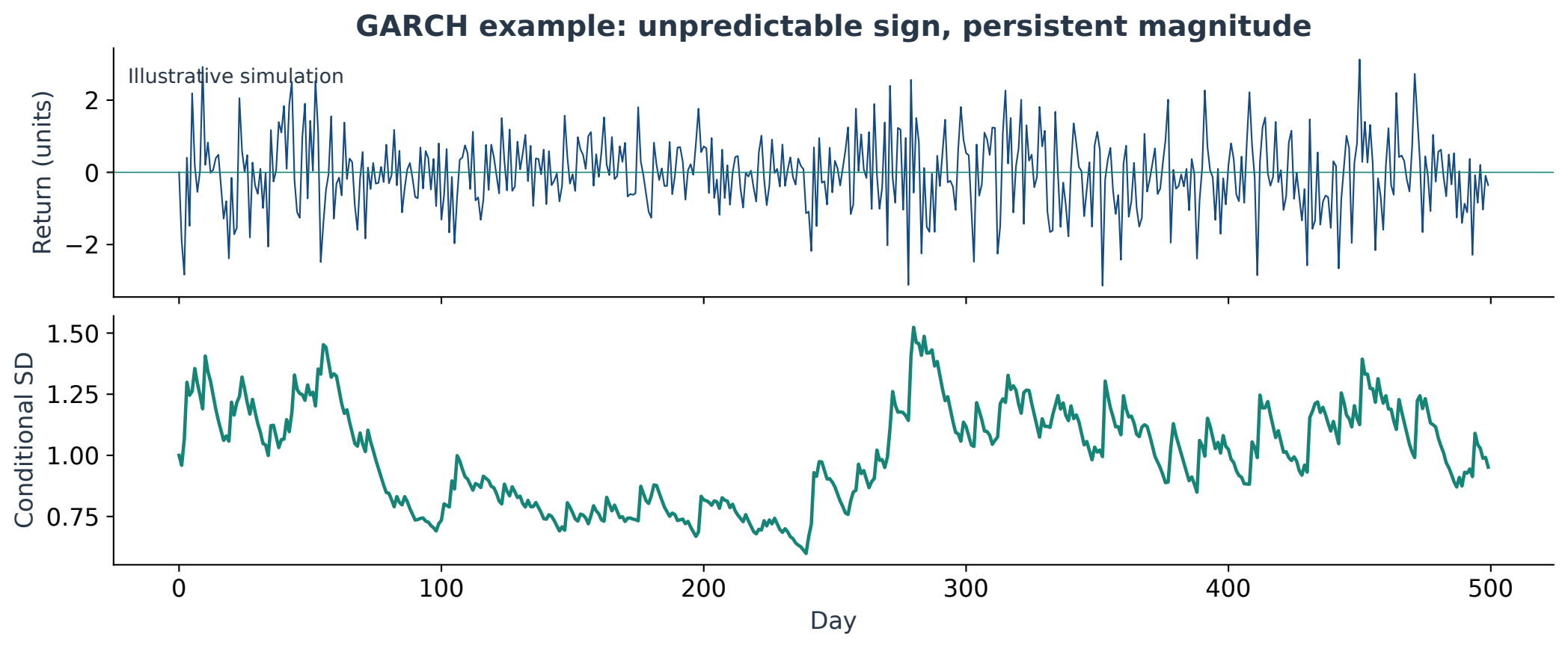
GARCH example: unpredictable sign, persistent magnitude
Illustrative simulation
Return (units)
2
0
−2
Conditional SD
1.50
1.25
1.00
0.75
0
100
200
300
400
500
Day